SUBCONTRACT AGREEMENT FOR CAST-IN-PLACE CONCRETE WORK

This Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026 (the "Effective Date"), by and between Sierra Crest General Contractors, Inc., a California corporation, with offices at 1840 East Foothill Boulevard, Suite 210, Pasadena, California 91107, California Contractors State License Board ("CSLB") License No. 1048837, Class B ("Contractor"), and Granite State Concrete, Inc., a California corporation, with offices at 9215 Rosecrans Industrial Way, Unit C, Santa Fe Springs, California 90670, CSLB License No. 1092264, Class C-8 ("Subcontractor").

Contractor has entered into a prime contract dated December 15, 2025 (the "Prime Contract") with Pasadena Arts Foundation, a California nonprofit public benefit corporation ("Owner"), for construction of the project known as the Colorado Boulevard Gallery Expansion, located at 1265 East Colorado Boulevard, Pasadena, California 91106 (the "Project").

Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract, and Subcontractor wishes to perform that work. Contractor and Subcontractor therefore agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Subcontract Documents.** The Subcontract Documents consist of the following:

- this Subcontract and its Exhibit; - the Prime Contract, to the extent it applies to the Subcontract Work; - the drawings prepared by Halvorsen Lim Architects, dated November 21, 2025, as listed in the Prime Contract; - the Project Manual dated November 21, 2025, including Specification Sections 03 10 00 (Concrete Forming and Accessories), 03 20 00 (Concrete Reinforcing), 03 30 00 (Cast-in-Place Concrete), 03 35 43 (Polished Concrete Finishing), and 07 26 00 (Vapor Retarders); - the geotechnical report prepared by Arroyo Earth Sciences, Report No. AES-25-1187, dated August 4, 2025; and - all addenda and modifications issued before the Effective Date.

1.2 **Order of Precedence.** If the Subcontract Documents conflict, this Subcontract governs over the Prime Contract. The Prime Contract governs over the drawings and specifications. If the drawings and specifications conflict with each other, Subcontractor shall provide the better quality or greater quantity of work unless Contractor directs otherwise in writing.

1.3 **Flow-Down.** To the extent the Prime Contract applies to the Subcontract Work, Subcontractor assumes toward Contractor the same obligations that Contractor assumes toward Owner. Subcontractor has the benefit of the rights and remedies that Owner owes to Contractor, except where this Subcontract provides otherwise.

1.4 **Defined Terms.** "Subcontract Work" means all labor, materials, equipment, supervision, and services required by Article 2. "Final Completion" means completion of all Subcontract Work and all punch list items, together with Subcontractor's delivery of all closeout documents required by Section 6.2. Other capitalized terms have the meanings given in this Subcontract or in the Prime Contract. The term "Payment Period" is defined in Section 14.6.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 **General Scope.** Subcontractor shall furnish all labor, materials, tools, equipment, supervision, and services necessary to complete the cast-in-place concrete work for the Project. Subcontractor shall perform this work in strict accordance with the Subcontract Documents.

2.2 **Included Work.** The Subcontract Work includes the following:

- spread and continuous footings and grade beams; - below-slab vapor retarder; - slab-on-grade for the new gallery wing, including saw-cut and construction joints; - elevated concrete topping slab over metal deck at the mezzanine; - concrete stair infill; - exterior site walls and planter curbs shown on the architectural site plan; - furnishing and placing reinforcing steel and embedded items furnished by others; - the ground-and-polished concrete finish in Gallery Rooms 101 through 108; and - all formwork, shoring for the Subcontract Work, curing, protection, and cleanup.

2.3 **Excluded Work.** The Subcontract Work excludes the following:

- mass excavation; - structural steel; - the metal deck itself; - underslab plumbing and electrical rough-in; - testing and inspection paid for by Owner; and - concrete paving outside the property line.

2.4 **Field Verification.** Subcontractor has examined the Project site and the Subcontract Documents. Subcontractor shall verify all dimensions, elevations, and existing conditions before beginning each portion of the Subcontract Work. Subcontractor shall report any discrepancy to Contractor in writing before proceeding.

2.5 **Submittals.** Subcontractor shall submit mix designs, reinforcing shop drawings, product data, and polished finish mock-up samples. Subcontractor shall submit these items in time to avoid delay and in accordance with the submittal schedule issued by Contractor. Subcontractor shall not order materials or begin fabrication until it receives the applicable approved submittal.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Amount.** Contractor shall pay Subcontractor, for full performance of the Subcontract Work, the sum of Three Hundred Eighty-Five Thousand Dollars ($385,000.00) (the "Subcontract Sum"). The Subcontract Sum is subject to additions and deductions by Change Order under Article 9.

3.2 **Inclusions.** The Subcontract Sum includes the following:

- all applicable sales and use taxes; - permits and fees for the Subcontract Work that are not paid by Owner; - prevailing wages, if they apply; - overhead, profit, and insurance costs; and - all costs of compliance with the Subcontract Documents.

3.3 **Schedule of Values.** The Exhibit—Schedule of Values allocates the Subcontract Sum among the principal portions of the Subcontract Work. Contractor shall use the Schedule of Values to evaluate each application for payment. Subcontractor shall not front-load the Schedule of Values. Contractor may require Subcontractor to substantiate any line item.

ARTICLE 4 — PROGRESS PAYMENTS

4.1 **Applications for Payment.** On or before the twentieth (20th) day of each month, Subcontractor shall submit an application for payment to Contractor. The application shall cover Subcontract Work performed through the last day of that month. Each application shall be in the form Contractor requires and shall be supported by the following:

- updated percentages of completion against the Schedule of Values; - certified payroll, where required; and - the lien waivers and releases required by this Article.

Contractor shall include each approved application, or the approved portion of it, in Contractor's next application to Owner.

4.2 **Time of Payment.** Each progress payment, less retention under Article 5 and any amounts withheld under Article 7, is due and payable to Subcontractor within the Payment Period.

4.3 **Pay-When-Paid.** The parties have agreed in writing that the time for each progress payment is measured from Contractor's receipt of the corresponding payment from Owner. Contractor's payment obligation is a pay-when-paid timing provision. Owner's payment to Contractor fixes the date on which payment to Subcontractor becomes due. Owner's payment is not a condition precedent to Contractor's obligation to pay. If Owner fails to pay Contractor for reasons not caused by Subcontractor, Contractor shall pay Subcontractor for properly performed Subcontract Work within a reasonable time.

4.4 **No Payment for Stored Materials.** Contractor will not pay for materials or equipment stored on or off the Project site. Contractor will make payment only for materials incorporated into the Subcontract Work in place.

4.5 **Conditional Waivers Before Progress Payment.** As a condition of each progress payment, Subcontractor shall deliver to Contractor, together with its application for payment, a conditional waiver and release on progress payment. The waiver shall cover the amount requested in that application.

4.6 **Unconditional Waivers After Payment.** Within five (5) days after Subcontractor receives each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment. The waiver shall cover the amount actually received. Contractor may withhold the next progress payment until Subcontractor delivers the unconditional waiver for the prior payment.

4.7 **Lower-Tier Waivers.** Subcontractor shall obtain and deliver to Contractor conditional and unconditional waivers and releases from each of its sub-subcontractors, suppliers, and equipment lessors whose work or materials are included in an application. These waivers shall be delivered on the same schedule required of Subcontractor under Sections 4.5 and 4.6. The lower-tier waiver requirement applies to every progress payment and to final payment.

4.8 **Statutory Forms Required.** Every waiver and release delivered under this Subcontract shall be in substantially the form set out in California Civil Code Sections 8132, 8134, 8136, and 8138, as applicable. Contractor will not accept any waiver or release that does not follow the applicable statutory form.

4.9 **Payment Not Acceptance.** Progress payments do not constitute acceptance of any Subcontract Work that is defective or not in accordance with the Subcontract Documents.

ARTICLE 5 — RETENTION

5.1 **Amount Retained.** Contractor shall retain five percent (5%) of each progress payment otherwise due to Subcontractor. Contractor shall hold this retention as security for Subcontractor's full performance.

5.2 **Release of Retention.** Contractor shall release the retention upon both of the following:

- Final Completion of the Subcontract Work; and - Contractor's receipt of retention from Owner.

Contractor shall pay the retention to Subcontractor within ten (10) days after the later of those two events.

5.3 **Conditions of Release.** Release of retention is subject to the following:

- Subcontractor's delivery of the closeout documents required by Section 6.2; - delivery of the waivers and releases required by Article 4; and - Contractor's right to withhold amounts under Article 7 for unresolved backcharges or defective work.

Any amount withheld shall not exceed the amount reasonably related to the claim. Contractor shall identify the amount in writing.

ARTICLE 6 — FINAL PAYMENT

6.1 **Application for Final Payment.** After Final Completion, Subcontractor shall submit an application for final payment. The application shall state the Subcontract Sum as adjusted by all executed Change Orders.

6.2 **Closeout Documents.** Before final payment, Subcontractor shall deliver to Contractor the following:

- as-built markups of the Subcontract Work; - concrete delivery tickets and batch records; - the polished concrete maintenance manual; - warranties required by Article 11; - a conditional waiver and release on final payment from Subcontractor and from each lower-tier party; and - a written statement that all of Subcontractor's payroll, material, and equipment obligations for the Project have been paid in full.

6.3 **Effect of Final Payment.** Within five (5) days after receipt of final payment, Subcontractor shall deliver unconditional waivers and releases on final payment from itself and from each lower-tier party. Acceptance of final payment waives all claims by Subcontractor except those previously made in writing and identified as unsettled in the final application.

ARTICLE 7 — WITHHOLDING, BACKCHARGES AND SETOFF

7.1 **Withholding for Defective Work.** Contractor may withhold from any payment an amount sufficient to cover the reasonable cost of correcting Subcontract Work that is defective or not in conformance with the Subcontract Documents. Contractor may continue to withhold this amount until the work is corrected and accepted.

7.2 **Backcharges and Setoff.** Contractor may set off against any amount due to Subcontractor, under this Subcontract or otherwise, the reasonable costs Contractor incurs because of Subcontractor's failure to perform. These costs include the following:

- cleanup performed by Contractor after notice; - damage to the work of others; - supplementation of Subcontractor's forces under Section 13.2; and - liquidated or actual delay damages assessed against Contractor to the extent caused by Subcontractor.

7.3 **Notice of Withholding.** Contractor shall give Subcontractor written notice of each withholding or setoff. The notice shall state the amount and the reason, and Contractor shall give it no later than the date the affected payment would otherwise be due. Contractor shall pay the withheld amount promptly after the reason for the withholding has been cured.

7.4 **Other Grounds.** Contractor may also withhold payment to the extent reasonably necessary to protect Contractor from loss caused by any of the following:

- stop payment notices or recorded liens arising from the Subcontract Work; - Subcontractor's failure to pay its lower-tier parties; or - Subcontractor's failure to furnish required waivers, insurance certificates, or certified payroll.

ARTICLE 8 — SCHEDULE AND TIME

8.1 **Time of the Essence.** Time is of the essence of this Subcontract. Subcontractor shall begin the Subcontract Work within three (3) working days after Contractor's notice to proceed. Subcontractor shall prosecute the work diligently and in accordance with Contractor's project schedule, as Contractor may update it from time to time.

8.2 **Coordination.** Subcontractor shall coordinate its work with Contractor and other trades. Subcontractor shall attend weekly coordination meetings. Subcontractor shall provide at least forty-eight (48) hours' notice before each concrete placement so that Owner's inspector and Contractor can attend.

8.3 **Polished Concrete Sequence.** Subcontractor shall complete the ground-and-polished finish in Gallery Rooms 101 through 108 only after the building is enclosed and overhead work is substantially complete. Subcontractor shall protect the finished floors until Contractor accepts them.

8.4 **Delays.** If Subcontractor is delayed by a cause beyond its control and without its fault, Subcontractor may request an extension of time. Subcontractor shall make the request in writing within five (5) days after the delay begins. Subcontractor's sole remedy for delay is an extension of time, except to the extent Owner compensates Contractor for that delay on Subcontractor's behalf.

ARTICLE 9 — CHANGES

9.1 **Changes in the Work.** Contractor may, without invalidating this Subcontract, order additions, deletions, or other revisions to the Subcontract Work. Contractor shall order such changes by written Change Order or written construction change directive. Subcontractor shall proceed promptly with the changed work.

9.2 **Pricing.** Changes shall be priced by one of the following methods:

- agreed lump sum; - unit prices stated in the Schedule of Values; or - actual cost plus a markup of ten percent (10%) for overhead and five percent (5%) for profit on Subcontractor's own work, and five percent (5%) total on work of its lower-tier parties.

9.3 **Claims.** Subcontractor shall give written notice of any claim for additional compensation or time within seven (7) days after the event giving rise to the claim. Subcontractor shall submit full supporting documentation

within fourteen (14) days after the notice. Where the claim involves Owner, Contractor shall present it to Owner under the Prime Contract. Subcontractor shall be bound by the outcome to the same extent Contractor is bound.

9.4 **No Unauthorized Work.** Contractor will not pay for extra work performed without a written Change Order or directive. This rule does not apply in an emergency endangering persons or property.

ARTICLE 10 — INSURANCE AND INDEMNITY

10.1 **Required Insurance.** Before beginning work, Subcontractor shall furnish certificates and endorsements evidencing the following coverage:

- commercial general liability insurance with limits of not less than $2,000,000 per occurrence and $4,000,000 aggregate, including products-completed operations; - business automobile liability insurance of $1,000,000 combined single limit; - workers' compensation insurance as required by California law, with employer's liability insurance of $1,000,000; and - umbrella liability insurance of $5,000,000.

10.2 **Additional Insureds.** Contractor, Owner, and Halvorsen Lim Architects shall be named as additional insureds on the general liability, automobile, and umbrella policies. Coverage shall be on a primary and non-contributory basis, and the policies shall include a waiver of subrogation.

10.3 **Indemnity.** To the fullest extent permitted by law, and subject to California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor and Owner from claims, damages, losses, and expenses, including reasonable attorneys' fees. This obligation applies to the extent such claims arise out of the negligence, recklessness, or willful misconduct of Subcontractor, its lower-tier parties, or anyone for whose acts they are responsible. Subcontractor shall have no obligation to indemnify for the active negligence or willful misconduct of an indemnified party.

ARTICLE 11 — WARRANTY AND CORRECTION OF WORK

11.1 **Warranty.** Subcontractor warrants that all Subcontract Work will be of good quality, free from defects, and in conformance with the Subcontract Documents. The warranty period is one (1) year after Owner's acceptance of the Project, or any longer period required by the Prime Contract or the specifications.

11.2 **Correction.** Subcontractor shall promptly correct, at its own cost, any Subcontract Work that is rejected by Contractor, Owner, or the architect as defective. Correction includes removal and replacement of concrete that fails to meet specified strength, flatness, or finish tolerances, and repair of any other work damaged by the correction.

11.3 **Polished Finish Standard.** The polished floor finish shall match the approved mock-up in sheen, aggregate exposure, and color uniformity. Contractor may treat any variance noted by the architect as defective work under Article 7.

ARTICLE 12 — SAFETY AND SITE CONDITIONS

12.1 **Safety Program.** Subcontractor shall comply with California Occupational Safety and Health regulations and with Contractor's site safety program. Subcontractor shall designate a competent person on site at all times while its forces are working.

12.2 **Silica Exposure.** Subcontractor shall implement a written exposure control plan for respirable crystalline silica during all cutting, grinding, and polishing operations. Subcontractor shall use wet methods or vacuum dust collection.

12.3 **Cleanup.** Subcontractor shall remove its debris, concrete washout, and excess materials daily. If Subcontractor fails to do so within twenty-four (24) hours after notice, Contractor may perform the cleanup and backcharge the cost under Section 7.2.

ARTICLE 13 — DEFAULT AND TERMINATION

13.1 **Default.** Subcontractor is in default if it does any of the following:

- fails to supply sufficient skilled workers or proper materials; - fails to make prompt payment to its lower-tier parties; - disregards laws or Contractor's instructions; or - otherwise materially breaches this Subcontract.

13.2 **Notice and Cure.** If Subcontractor defaults and fails to begin curing the default within forty-eight (48) hours after written notice, Contractor may supplement Subcontractor's forces. If Subcontractor fails to complete the cure within a reasonable time, Contractor may terminate this Subcontract for cause. In either case, Contractor may charge the cost of completion to Subcontractor.

13.3 **Termination for Convenience.** If Owner terminates the Prime Contract for convenience, Contractor may terminate this Subcontract for convenience on written notice. In that event, Subcontractor shall be paid for Subcontract Work properly performed through the date of termination, plus reasonable demobilization costs, to the extent Contractor recovers those amounts from Owner.

ARTICLE 14 — MISCELLANEOUS

14.1 **Governing Law.** This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws rules.

14.2 **Disputes.** The parties shall first attempt to resolve any dispute through negotiation between senior representatives. If negotiation fails, either party may bring an action in the Superior Court of California, County of Los Angeles. Disputes involving Owner shall be resolved in the forum provided by the Prime Contract.

14.3 **Licensing.** Subcontractor represents that it holds a current CSLB license of the classification required for the Subcontract Work. Subcontractor shall maintain that license in good standing throughout performance of the Subcontract Work.

14.4 **Assignment.** Subcontractor shall not assign this Subcontract, or subcontract the whole of the Subcontract Work, without Contractor's prior written consent.

14.5 **Notices.** Notices shall be in writing and delivered by hand, by overnight courier, or by email with confirmation of receipt. Notices shall be sent to the addresses stated in the preamble, or to any other address a party designates by notice.

14.6 **Payment Period.** As used in this Subcontract, "Payment Period" means seven (7) days after Contractor's receipt of the corresponding payment from Owner.

Fictional contract generated for the Groundwork demo. Not legal advice. No real parties.

14.7 **Entire Agreement.** This Subcontract, together with the Subcontract Documents, is the entire agreement between the parties. It supersedes all prior proposals and negotiations. It may be amended only by a written instrument signed by both parties.

14.8 **Severability and Waiver.** If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect. A party's failure to enforce any provision is not a waiver of that provision.

14.9 **Counterparts.** This Subcontract may be executed in counterparts and by electronic signature. Each counterpart is deemed an original.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date.

SIERRA CREST GENERAL CONTRACTORS, INC. By: _____ Name: Daniel R. Okafor Title: Vice President, Operations Date: _____

GRANITE STATE CONCRETE, INC. By: _____ Name: Teresa M. Villanueva Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Amount
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1	Mobilization, submittals, and mock-ups	01 33 00 / 03 35 43	$14,000.00
2	Footings and grade beams, formwork and placement	03 10 00 / 03 30 00	$78,500.00
3	Reinforcing steel, furnish and install	03 20 00	$61,000.00
4	Below-slab vapor retarder	07 26 00	$9,500.00
5	Slab-on-grade, gallery wing	03 30 00	$72,000.00
6	Mezzanine topping slab over metal deck	03 30 00	$31,500.00
7	Concrete stair infill	03 30 00	$8,500.00
8	Exterior site walls and planter curbs	03 10 00 / 03 30 00	$42,000.00
9	Ground-and-polished finish, Gallery Rooms 101–108	03 35 43	$56,000.00
10	Curing, protection, cleanup, and closeout	03 30 00 / 01 77 00	$12,000.00
	Subcontract Sum		**$385,000.00**